

to value the company as richly as they did the other three. Still, there were enough takers for the stock because the company was able to demonstrate consistent growth in earnings, quarter after quarter.

And the ‘beauty’ of the stock market is that even in times of utter despair, there is never a dearth of optimists, value buyers or bargain hunters – whatever you may call them. A record total of 34.67 crore shares of Satyam were traded on both exchanges that day which showed there were many investors who felt the company could still make a comeback, despite the serious mess it was in.

When I first saw the news flashed on television, I could not believe my eyes. Rarely do you have the promoter of a frontline company admitting to a fraud, that too a fraud on such a massive scale. My trader’s instinct quickly took over, and I short-sold as many shares as I could. But the price had begun to sink rapidly, even before I could hit the ‘enter’ key on my trading terminal. The severity of the slide stunned the market, and within minutes the stock had fallen to below Rs 100. I wondered if I should be doubling my position, but decided against it. I covered my position at Rs 90 and waited. Since there was no intra-day circuit filter on the stock, it continued its free fall, going all the way down to Rs 30 before closing at Rs 40 by the end of the day.

Satyam’s troubles had started a few months earlier when the lenders with whom the promoters had pledged shares to raise money started offloading them. That Raju was pledging his shares to raise money was not common knowledge because SEBI rules did not require a company to disclose details about shares pledged by its promoters.

By the end of September 2008, promoter-holding in the company had fallen to 8.6 per cent, leaving the company vulnerable to a takeover.

Still, the stock managed to hold ground in October while the market as a whole was being battered by the yen carry-trade unwinding. But, unknown to shareholders, time was running out for Raju. There was a big hole in Satyam’s books because of the fictitious cash and bank balances in it. Raju had managed to outwit the auditors so far, but at some point he would have to reconcile the books. Besides, he had to keep paying real taxes even if the revenues were fake. And, since he had pledged shares to raise money, the stock price had to be maintained, or the lenders would start dumping his shares. To maintain the stock prices, the artificial growth in revenues had to be sustained.